

Russia and Ukraine head for an autumn escalation

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Both Russia and Ukraine will escalate this autumn, while stronger incentives to negotiate will emerge for both sides by late summer 2027. China's path|||||||

Daily Brief

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summary

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Both Russia and Ukraine will escalate this autumn, while stronger incentives to negotiate will emerge for both sides by late summer 2027.

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China's path to its 21st Party Congress is likely to be defined by orderly preparation rather than political maneuvering, with economic managers rising.

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Marine Le Pen leads France's presidential race, but fears of a far-left runoff are premature and former prime minister Edouard Philippe retains a slight edge.

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Depleted US interceptors limit any renewed offensive against Iran to weeks and will drive defense debates, but matter less for Taiwan than coverage suggests.

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Countries and sectors in this edition of the Daily Brief include the US, Bangladesh, China, France, Iran, Russia, Taiwan, Ukraine, the UK, Venezuela, aerospace & defense, geoeconomics, and oil.

the top line

Russia, Ukraine—Escalation between Russia and Ukraine coming in the autumn

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Pressed by a widening fiscal deficit, declining public support and diminishing hopes for US pressure on Kyiv, Russia will step up its strike campaign against Ukraine and mobilize more troops to increase pressure on the front line.

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Ukraine will escalate too, striking Russian ports, refineries and logistics hubs, but inflicting economic pain on Russia will not offset Kyiv's worsening manpower deficit.

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Regardless of how the autumn escalation plays out, both sides will face stronger incentives to negotiate by late summer 2027.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

China—CCP will benefit from stability and promote economic managers in 2027

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The path to the 21st Party Congress for the Chinese Communist Party (CCP) set for October 2027 looks fundamentally different from 2022, with orderly preparation, not political maneuvering, defining the process.

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The military purge has removed 70% of military CCP Central Committee members since 2022, but Xi Jinping is rebuilding in parallel and filling key positions.

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Hubei Party Secretary Guan Zhi'ou is on a credible path to Politburo consideration by 2032 amid a reshuffle of provincial officials that rewards economic administrators with experience in land, industrial policy, and risk management.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

France—Le Pen dominates, but fears of runoff against far left are premature

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The French presidential campaign has entered a critical new phase with Marine Le Pen still leading the polls. Le Pen performed poorly on her weakest issue, the economy, in the first TV debate last week but remains far ahead of the field with 34%-35% of first-round support.

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Far-left leader Jean-Luc Melenchon has risen in some polls this summer, but suggestions that he is on course to face Le Pen in a runoff between the political extremes on 2 May are premature.

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Eurasia Group's probability tree gives Le Pen a 35% chance of victory, but we still give a slight edge—at 40%—to the strongest mainstream candidate, centrist Philippe.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

US, Iran, Taiwan—US interceptor gaps deepen Iran standoff but have limited Taiwan effect

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Depleted interceptors limit any renewed US offensive operation against Iran to a matter of weeks, consistent with the basecase of protracted standoff (60% odds).

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A US decision to resume offensive action (see note , 1 September) would force reliance on shorter-range, higher-risk systems and expand regional operations, raising the risk to US personnel and facilities.

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Shortfalls will drive defense budget debates for years but are less constraining for a Taiwan contingency than media coverage suggests, as expendable autonomous systems and cheap munitions reduce dependence on the interceptors now in short supply.

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Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

US, Energy, Geoeconomics—Chart of the Day: Rising diesel prices set to amplify affordability concerns

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US diesel retail prices reached a four-year high, as refining capacity reductions from conflicts drive product prices up despite relative price stability in oil markets.

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Diesel is a key cost in agricultural production, and trucking accounts for almost three-quarters of US goods transport, with price rises likely to be passed on to US consumers over time. A disproportional impact on lower-income households risks amplifying the disconnect between the political impact of affordability and broader measures of inflation targeted by the Federal Reserve.

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In April, restrictions on shipping through the Strait of Hormuz had the greatest impact on the immediate availability of oil. Now, the wider impact on global refining capacity from infrastructure damage in the Gulf and in Russia is boosting prices of refined products.

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The global shortages of refining capacity risk amplifying the economic impact of El Niño, with the countries most exposed to adverse weather impacts on crop yields also highly dependent on diesel imports.

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Reach out to discuss: geoeconomics@eurasiagroup.net .

upcoming conference calls

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3 September 10:00 AM ET—US-Mexico trade after the Canada standoff. Register here .

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3 September 11:00 AM ET—BRICS summit. Register here .

eg in depth

UK—Budget will bring Burnham’s big promises up against fiscal reality: Prime Minister Andy Burnham’s biggest test this fall will be juggling voter-friendly measures and fiscal discipline in the budget Chancellor John Healey will present on 28 October. Burnham is preparing the ground for limited tax increases in the October budget to fund a cost-of-living package, including help with energy bills, with options such as reforming local council tax, bringing capital gains tax into line with income tax, and imposing tax hikes on banks as well as oil and gas companies. We now assign a 35% probability to a 2027 election that would allow the prime minister to secure his own mandate and shed his party’s 2024 pledges not to raise income tax, National Insurance, or VAT, though Burnham would need to see a solid

Labour polling lead over Reform to make that call. Read more here . Reach out to discuss: europe@eurasiagroup.net .

US—Abbreviated congressional schedule is new hurdle for Graham sanctions bill: Democratic opposition and an abbreviated congressional timeline are the primary impediments to the bill—named for the late senator Lindsey Graham—clearing the House before a midterm recess. The bill, which would allow the president to implement 100% tariffs on top Russian oil buyers and expand and formalize Iran sanctions, is likely to pass, but there's an increasing risk it won't receive a floor vote before the recess, which is increasingly likely to arrive earlier than anticipated. That would be a negative sign for its outlook, leaving members on the fence more time to shift to opposing it based on an opposition to President Donald Trump's administration. Democrats may not cooperate in a lame duck session if they flip a chamber. If it passes, Trump would sign it. The White House retains final say on tariff and sanction provisions, its 100% tariffs appearing primarily a threat to Russian oil purchasers. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Bangladesh—Rahman's reshuffle aims to contain Jamaat: Prime Minister Tarique Rahman will keep the right-wing Jamaat-e-Islami party at bay as long as the Iran conflict doesn't drag Bangladesh's economy into a deeper downturn. Rahman's reshuffle creates a complicated three-minister foreign affairs structure, with policy coherence and reconciliation with India likely to suffer. The recent purchase of Boeing airliners will protect Bangladesh's trade deal with the US, and a second reshuffle targeting the economic ministries is likely within weeks. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Venezuela—Judicial overhaul advances US-backed transition talks: The national assembly on 1 September approved a partial Supreme Court reform implementing an agreement from US-backed talks between interim authorities and the 2015 National Assembly, opening the way to magistrate renewal—which the opposition welcomed as progress toward judicial independence, though impact will depend on implementation. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Venezuela—Chevron investment adds to sector momentum: Chevron announced plans to invest more than \$7 billion over five years and more than double its Venezuelan output to 600,000 barrels per day by 2031, the latest existing partner to expand its footprint (see note , 31 August). With new entrants mostly smaller independent firms, ExxonMobil and ConocoPhillips remain the key test of sufficient policy certainty to attract significant investment. Washington continues to link energy recovery to political transition—Secretary of State Marco Rubio described the deal as part of a broader effort to stabilize and rebuild Venezuela ahead of eventual democratic elections—while interim President Delcy Rodriguez will likely face domestic criticism over sovereignty concerns. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

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3 September: Data: US trade.

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4 September: Data: Brazil trade, US nonfarm payrolls, and unemployment rate.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Blaise Hanson.

closing quip

“The markets are clearly worried that we now have a spendthrift prime minister who wants to say yes to everyone but cannot tell us where the money is coming from.”—Kemi Badenoch, leader of the UK Conservative Party, said in Parliament on 2 September, referring to Burnham.

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